investment or the fungibility of money in general can diminish the house money effect. The house money effect causes investors to devalue a dollar as aggregate dollars accumulate. Recall that this rationale causes investors to devalue individual dollars. They sense that they are now playing with the "house's" money, not their own. Remember, dollars won or found seem, for many people, irrationally expendable. When clients appear subject to the house money effect, it is crucial to stress the underlying truth that *a dollar equals a dollar*—no matter which mental account each dollar occupies.

Clinging to Formerly Gainful Investments

Mental accounting bias prevailed during the collapse of the tech boom in 2000 and 2001. Any investor who recalls those years should be somewhat inoculated against this behavior. Unfortunately, however, many people have short memories. If a company's prospects today do not look good and if it is still possible to divest from that company and capture a gain, then the client should evacuate the position immediately. The investment may have generated great profits in the past, but most clients should rationally grasp that the present-day outlook matters most. A convenient reminder is: "No one ever got hurt taking a profit."

Bonus Section: The Potential Benefits of Mental Accounting

It is important for practitioners to recognize that mental accounting can sometimes generate benefits. If clients regard college funds or retirement funds, for example, as sacrosanct, then they may be less inclined to disturb sound long-term investment plans by interfering with money stashed away. Of course, an instinct to preserve certain assets does not guarantee that those assets will be managed wisely. In the instance of a college fund, practitioners should recommend multiple shifts toward more conservative investments as the child's teen years approach. This will likely result in less resistance to change when reallocating funds.

Some financial advisors adhere to "goals-based planning," which leverages mental accounting for the benefit of the client. These practitioners argue that clients should set multiple, distinct investment goals, a practice that contrasts with many interpretations of traditional investment theory. Conventional approaches suggest that an allocation should be oriented toward total portfolio gains. Risk, in this view, is likewise managed at the global portfolio level, using an estimate of an investor's overall risk tolerance. Daniel Nevins argued that it is difficult to reconcile this single portfolio framework with the existence of separate mental accounts linked to specific